THE SCOPE AND LIMITS OF THE CORPORATE ENTITY THEORY.

The acts of a group of persons recognized by the law as a corporation are, in legal contemplation, the acts of the group itself conceived of as if it were a separate individual or legal "person", and not the acts of the human beings composing the group. And the rights and liabilities arising out of such acts are, in legal contemplation, the rights and liabilities of the group as such, and not the rights and liabilities of the members of the group as joint parties in interest. Of course, the group, which is recognized and treated by the law as something distinct from its members, is not a "person", that is, a human being, or, as he has been defined under a broader generalization, "a biped without feathers". The "personality" of the group exists only as a legal conception. But this conception is, as I pointed out in a previous article in this Review,[1] not a fiction in the sense of a supposition contrary to and having no relation to fact. It is not a fiction in the sense of an "act of feigning, inventing or imaging, a *false* deduction or conclusion"—which is one of the definitions of the term in the Century Dictionary. On the contrary, it is a conception founded in the normal mode of thought not only of trained lawyers but of mankind in general. Such a conception is to be sharply distinguished, therefore, from certain legal fictions or presumptions which have no relation to fact and are often in truth false deductions or conclusions—such as the fiction of a lease in the old suit of ejectment, the fiction by which the English Court of Exchequer usurped jurisdiction by permitting an allegation that the plaintiff was the King's debtor and then allowing no one to deny it, the fiction that all of the stockholders of a corporation are residents of the state where it was incorporated, the fiction of a lost grant and the like. Such fictions or presumptions are obviously purely arbitrary and are often in truth contrary to fact, and were invented by the courts for the purpose of being able to administer justice without expressly disregarding a rule which literally applied would produce results opposed to justice.[2] The legal conception of a corporation, on the other hand, is of a very different nature, and on account of those fictions of the law, which are indeed contrary to

[1] 14 Columbia Law Rev. 469. The term "person" was not used in the Roman Law, and is unnecessary. It is a mere relic of mediæval scholasticism—a vestige of the "Realists". Corporation is the proper term—not "person", as *universitas* was the proper term in the Roman Law.

[2] Thayer's Cases on Evidence, p. 40.

fact, it is misleading to call the theory of a corporate entity a fiction. It is a "fiction" only in the sense of an act of "imagining" —it is not an arbitrary assumption without regard to fact, and does not involve a false deduction or conclusion. For the act of "imagining" a certain relation for the purpose of giving effect to the real intention of the parties and expressing a thought grounded in the nature of things, involves something very real and true rather than false. The corporate entity theory, therefore, is of precisely the same nature as the doctrine of implied conditions in contracts and the doctrine of relation in the law of agency. And if it is called a fiction, it can be so called only in the same sense in which these other doctrines of implied conditions and relation can be called fictions.

Such being the legal conception of the nature of a corporation, justice requires that the principle of law which is based upon it should be firmly and consistently applied, and the fact is that it is so applied both in courts of law and equity. So far from its being a dead principle, it manifests itself to-day in the decisions of our courts as a principle which is just as alive and vigorous as it was in the days of Imperial Rome. Accordingly, we find that in all cases involving the rights and obligations arising out of contract or tort or the ownership of property, it is uniformly held that as between the corporation and third persons, it is the corporation and the corporation alone which must sue or be sued. For, in legal contemplation, the contracts and torts of a corporation are its contracts and torts, and not those of its members. Furthermore, the corporation is not, in point of law, deemed to be the agent or trustee for its stockholders, nor are the stockholders regarded as the real parties in interest or the persons for whose benefit the contracts of the corporation are made.[3]

[3]Salomon *v.* Salomon & Co., Ltd. [1897] A. C. 22, 43, *per* Lord Herschell: "In a popular sense, a company may in every case be said to carry on business for and on behalf of its stockholders; but this certainly does not in point of law constitute the relation of principal and agent between them, or render the shareholders liable to indemnify the company against the debts which it incurs." See also 14 Columbia Law Rev. 470, and note. If the corporation were in fact the agent for its shareholders, or the shareholders were the persons for whose benefit the corporation enters into its contracts, the shareholders could sue and be sued, either in accordance with the doctrine of undisclosed principal or the doctrine of the real parties in interest or the doctrine as to third persons for whose benefit contracts are made. But this result is not recognized or suggested in any of the authorities.

In Bank of the United States *v.* Deveaux (1809) 9 U. S. 61, Chief Justice Marshall, having held that a corporation could not be a citizen within the Constitution and Federal Statute granting to the courts of the United States jurisdiction in case of "controversies between citizens of different